

Compensation and Salary Changes Policy

Policy ID	HR-COMP-201	Owner	Total Rewards
Effective	January 1, 2026	Next review	January 1, 2027
Status	Current	Classification	Internal
Audience	Employees, managers, and compensation	Company	Northstar Technologies (fictional)

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1. Purpose and Scope

This policy explains salary ranges, annual reviews, promotions, temporary duties, geographic changes, incentive eligibility, and communication of approved pay changes. It does not promise an increase and does not replace an employee's written compensation agreement.

This policy applies across company offices and approved remote locations unless a local addendum or controlling law provides a different rule. Employees should use the current policy version and ask the listed owner when facts do not fit the standard case.

2. Summary of Key Rules

Change type	Approval route	Typical effective timing
Annual merit	Manager, department head, Total Rewards	April payroll
Promotion	Department head, HR, Finance	First of approved month
Temporary duties	Manager and HR	After 30 days when approved
Location change	HR, Tax, Total Rewards	On approved relocation date

3. Salary Ranges and Positioning

Roles are assigned to salary ranges using market data, internal equity, responsibility, and location. Range placement may differ for employees in the same title because of experience, sustained performance, specialized skills, or geography. Salary ranges are planning tools and do not create a guaranteed progression schedule.

4. Annual Review

Managers review performance and compensation annually, normally for changes effective in April. Eligibility generally requires a start date on or before October 1 of the preceding year and active employment on the effective date. A review does not guarantee an increase. Approved changes appear in a compensation statement before payroll processing.

5. Promotions and Temporary Duties

A promotion requires a documented role with materially greater responsibility and approval before the employee begins the new role. Temporary coverage does not automatically constitute a promotion. A temporary-duty allowance may be approved when substantially higher-level duties continue for more than 30 calendar days. Retroactive changes are exceptional and require HR and Finance approval.

6. Confidentiality and Questions

Employees may discuss their own compensation as permitted by law. Managers must not disclose another employee's individual pay information. Questions about a payslip or payment date go to Payroll; questions about salary range, promotion, or incentive design go to Total Rewards. Suspected discrimination may be reported through the Workplace Conduct process.

7. Exceptions, Records, and Questions

Exceptions must be lawful, documented, limited in duration, and approved by the policy owner plus any other owner named in the relevant section. Approval for one case does not change the policy for other employees. Records are retained according to the company retention schedule and any legal hold.

Related documents: Performance Management Policy; Payroll Calendar and Cutoffs Policy; Remote and Hybrid Work Policy.

Version history

Version	Effective date	Change
1.0	January 1, 2026	Initial fictional policy issued for RAG evaluation.